



INTERIM FINANCIAL STATEMENTS

31 DECEMBER 2017



Arpico Insurance PLC

STATEMENT OF COMPREHENSIVE INCOME

For the Three Months Ended 31 December

		Three Months Ended 31 st December 2017 Unaudited Rs	Three Months Ended 31 st December 2016 Unaudited Rs
	<u>Note</u>		
Revenue		386,074,148	251,247,806
Gross written premium	3	348,351,118	213,222,134
Premium ceded to reinsurers	3	(8,385,354)	867,219
Net written premium		339,965,764	214,089,352
Other Revenue			
Fee and Commission Income	3	5,561,526	(440,668)
Income from investments	5	39,254,185	37,588,143
Realise Gain	3	(698,139)	(2,166,247)
Other Income	3	1,990,812	2,177,226
Total Other revenue		46,108,384	37,158,454
Net Income		386,074,148	251,247,806
Net insurance benefits and claims paid		(38,451,544)	(41,016,812)
Net change in insurance claims outstanding		(660,865)	(1,421,180)
Underwriting and Net Acquisition Costs		(104,888,432)	(60,838,922)
Change in Contract Liabilities - Life Fund		(19,497,784)	(21,705,772)
Other operating and administrative expenses		(60,198,090)	(52,666,927)
Net benefits and claims		(223,696,714)	(177,649,613)
Profit/(Loss) before tax		162,377,434	73,598,193
Income tax expense		-	-
Profit/(Loss) for the Period		162,377,434	73,598,193

Arpico Insurance PLC

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Three Months Ended 31 December

	Notes	Three Months Ended 31 December 2017 Unaudited Rs	Three Months Ended 31 December 2016 Unaudited Rs
Profit / (Loss) for the year		162,377,434	73,598,193
Other Comprehensive Income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets		35,504,538	(2,997,877)
Fair value movement of AFS reserve transferred to life fund		(35,504,538)	2,997,877
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurement gain on defined benefit Plan		-	-
Other Comprehensive Income		-	-
Total Comprehensive Income for the Period		162,377,434	73,598,193

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

Arpico Insurance PLC

STATEMENT OF COMPREHENSIVE INCOME

For the Year Ended 31st December 2017

		Year Ended 31 st December 2017 Unaudited Rs	Year Ended 31 st December 2016 Audited Rs
	Note		
Revenue		1,187,486,724	845,051,472
Gross written premium	3	1,038,085,079	745,386,354
Premium ceded to reinsurers	3	(28,370,148)	(24,436,905)
Net written premium		1,009,714,932	720,949,449
Other Revenue			
Fee and Commission Income	3	19,547,861	6,269,983
Income from investments	5	152,274,184	114,148,063
Realise Gain	3	85,349	(1,089,247)
Other Income	3	5,864,398	4,773,224
Total Other revenue		177,771,793	124,102,023
Net Income		1,187,486,724	845,051,472
Net insurance benefits and claims paid		(117,741,823)	(78,125,723)
Net change in insurance claims outstanding		(2,015,224)	(872,422)
Underwriting and Net Acquisition Costs		(352,294,910)	(214,224,769)
Change in Contract Liabilities - Life Fund		(282,695,020)	(290,207,532)
Other operating and administrative expenses		(232,672,462)	(153,731,854)
Net benefits and claims		(987,419,438)	(737,162,301)
Profit/(Loss) before tax		200,067,287	107,889,171
Income tax expense		-	-
Profit/(Loss) for the Period		200,067,287	107,889,171

Arpico Insurance PLC

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Year Ended 31st December 2017

	Notes	Year Ended 31 December 2017 Unaudited Rs	Year Ended 31 December 2016 audited Rs
Profit / (Loss) for the year		200,067,287	107,889,171
Other Comprehensive Income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets		18,895,495	(337,292)
Fair value movement of AFS reserve transferred to life fund		(18,895,495)	337,292
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurement gain on defined benefit Plan		(1,033,916)	(431,855)
Other Comprehensive Income		<u>(1,033,916)</u>	<u>(431,855)</u>
Total Comprehensive Income for the Period		<u><u>199,033,370</u></u>	<u><u>107,457,315</u></u>

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

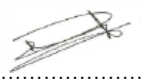
Arpico Insurance PLC

STATEMENT OF FINANCIAL POSITION

As at 31st December 2017

		31-Dec-17 Unaudited Rs.	31-Dec-16 Audited Rs.
	Notes		
Assets			
Property, Plant and Equipment		57,597,796	21,850,521
Financial Assets	7	1,346,980,154	1,245,402,750
Loans to Life Policy Holders		157,711,170	111,675,715
Reinsurance Receivable		20,702,073	7,706,821
Amounts due from related party		181,589	-
Premium Receivable		105,775,413	39,491,469
Other Assets		93,320,721	54,329,540
Cash and Cash Equivalents		321,741,012	106,504,318
Total Assets		2,104,009,927	1,586,961,135
Equity and liabilities			
Shareholders' Equity			
Stated capital		675,564,870	675,564,870
Revenue Reserves		251,686,226	79,145,018
Total Shareholders' Equity		927,251,096	754,709,888
Liabilities			
Insurance Provision - Life	8	1,027,638,371	726,047,856
Employee Benefit Obligation		6,568,317	4,608,990
Reinsurance Creditors		30,859,018	22,729,392
Amounts Due to Related Party	10	9,694,865	6,676,507
Financial Liabilities		76,185,885	54,461,564
Other liabilities		25,812,376	17,726,937
Total Liabilities		1,176,758,832	832,251,247
Total Liabilities and Shareholders' Equity		2,104,009,927	1,586,961,135

These Financial Statements are prepared in compliance with the requirements of the Companies Act No. 07 of 2007.



 Financial controller
 (Melanga A. Doolwala)

The Board of Directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.



 Director
 (W.J. Viville P. Perera)



 Director
 (Shiron Gooneratne)

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

27 February 2018
 Colombo

Arpico Insurance PLC

STATEMENT OF CASH FLOW

For the Year Ended 31st December

	Notes	2017 Rs.	2016 Rs.
Operating activities			
Premium received from customers		971,801,135	763,781,070
Payment to ReInsurer		(29,745,905)	(12,241,172)
Claims paid		(101,926,995)	(86,730,412)
Cash received from Reinsurer		1,568,695.00	7,293,403
Payment to suppliers and others		(440,363,291)	(314,874,004)
Cash Inflow from Operating Activities		<u>401,333,637</u>	<u>357,228,886</u>
Tax Paid		(10,180,171)	(8,673,409)
Net Cash Flows from Operating Activities		<u>391,153,466</u>	<u>348,555,477</u>
Investing activities			
Purchase of property and equipment		(47,847,206)	(12,101,695)
Disposal of Property Plant and Equipment		-	-
Net drawdown of Investments		(101,577,404)	(258,587,621)
Net cash flows generated / (used) in investing activities		<u>(149,424,610)</u>	<u>(270,689,316)</u>
Financing Activities			
Proceeds from Share issue		-	-
Stamp Duty on Share Allotment		-	-
Dividend payment		(26,492,163)	-
Net cash flows used in financing activities		<u>(26,492,163)</u>	<u>-</u>
Net (decrease)/increase in cash and cash equivalents		215,236,693	77,866,161
Cash and cash equivalents at 1 January		106,504,318	28,638,157
Cash and cash equivalents at 31 December		<u>321,741,012</u>	<u>106,504,318</u>
Analysis of Cash and Cash Equivalents			
Favourable Balances			
Cash at Hand		276,266	211,026
Cash at Bank		113,758,639	45,118,870
Short Term Investments		207,706,107	61,174,421
		<u>321,741,012</u>	<u>106,504,318</u>
Unfavourable Balances			
Bank Overdrafts		-	-
Total Cash and Cash Equivalents		<u>321,741,012</u>	<u>106,504,318</u>

Arpico Insurance PLC

STATEMENT OF CHANGES IN EQUITY

For the Year Ended 31st December 2017

	Stated Capital	AFS reserve	Revenue Reserve	Total
	Rs.	Rs.	Rs.	Rs.
Balance as at 1 January 2016	675,564,870	-	(28,312,297)	647,252,573
Issue of share capital		-	-	-
Other Comprehensive Income	-	-	-	-
Net profit for the period	-	-	34,290,978	34,290,978
Un audited Balance as at 31 December 2016	675,564,870	-	5,978,681	681,543,551
Issue of share capital	-	-	-	-
Share Issue Expenses	-	-	-	-
Other Comprehensive Income	-	-	(431,856)	(431,856)
Net profit for the period	-	-	73,598,193	73,598,193
Audited Balance as at 31 December 2016	675,564,870	-	79,145,018	754,709,887
Issue of share capital	-	-	-	-
Other Comprehensive Income	-	-	(1,033,916)	(1,033,916)
Net profit for the period	-	-	200,067,287	200,067,287
Dividend Declared			(26,492,162)	(26,492,162)
Un audited Balance as at 31 December 2017	675,564,870	-	251,686,226	927,251,095

Arpico Insurance PLC

Notes to Interim Financial Statements

- Figures in the these Condensed Interim Financial Statements for the period ended 31st December 2017 are provisional and unaudited.
- The Condensed Interim Financial Statements have been prepared in accordance with Sri Lanka Accounting and Auditing Standards, which requires compliance with Sri Lanka Accounting Standards promulgated by the Institute of Chartered Accountants of Sri Lanka (CA-Sri Lanka) and comply with the requirements of the Companies Act, No. 7 of 2007 and the Regulation of Insurance Industry Act, No. 43 of 2000 and the listing rules of the Colombo Stock Exchange. The same accounting policies and methods of computation as stated in the Audited Financial Statements - 2016 have been followed in preparation of these Condensed Interim Financial Statements. Comparative information have been re-valued/re-classified where necessary, to conform to the current period recognition, measurement and presentations.

3. REVENUE	Notes	Twelve Months Ended 31 December Unaudited 2017 Rs	Twelve Months Ended 31 December Audited 2016 Rs	Three Months Ended 31 December Unaudited 2017 Rs	Three Months Ended 31 December Unaudited 2016 Rs
Gross Written Premium	4(a)	1,038,085,079	745,386,354	348,351,118	213,222,134
Premium Ceded to Reinsurers	4(b)	(28,370,148)	(24,436,905)	(8,385,354)	867,219
Net Written Premium		1,009,714,932	720,949,449	339,965,764	214,089,352
Fees and commission income		19,547,861	6,269,983	5,561,526	(440,668)
Investment income		152,274,184	114,148,063	39,254,185	37,588,143
Other operating revenue		5,864,398	4,773,224	1,990,812	2,177,226
Realise Gain		85,349	(1,089,247)	(698,139)	(2,166,247)
Total Revenue		1,187,486,724	845,051,472	386,074,148	251,247,806

4. NET WRITTEN PREMIUMS	4(a) Gross premiums on insurance contracts	Twelve Months Ended 31 December Unaudited 2017 Rs	Twelve Months Ended 31 December Audited 2016 Rs	Three Months Ended 31 December Unaudited 2017 Rs	Three Months Ended 31 December Unaudited 2016 Rs
Conventional Policies		1,038,085,079	745,386,354	348,351,118	213,222,134
Total gross written premiums		1,038,085,079	745,386,354	348,351,118	213,222,134

4 (b). Premiums ceded to reinsurers on insurance contracts		Twelve Months Ended 31 December Unaudited 2017 Rs	Twelve Months Ended 31 December Audited 2016 Rs	Three Months Ended 31 December Unaudited 2017 Rs	Three Months Ended 31 December Unaudited 2016 Rs
Conventional Policies		(28,370,148)	(24,436,905)	(8,385,354)	867,219
Total premiums ceded to reinsurers		(28,370,148)	(24,436,905)	(8,385,354)	867,219
Total net written premiums		1,009,714,932	720,949,449	339,965,764	214,089,352

5. INVESTMENT INCOME		Twelve Months Ended 31 December Unaudited 2017 Rs	Twelve Months Ended 31 December Audited 2016 Rs	Three Months Ended 31 December Unaudited 2017 Rs	Three Months Ended 31 December Unaudited 2016 Rs
Available-for-sale financial assets					
Interest income		50,955,485	27,337,801	(1,256,943)	16,481,956
Loans and receivables interest income		101,318,700	86,810,262	40,511,128	21,106,186
Total investment income		152,274,184	114,148,063	39,254,185	37,588,143

Arpico Insurance PLC

Notes to Interim Financial Statements

6. EARNINGS /(LOSS) PER SHARE

Basic earnings per share amounts is calculated by dividing the net profit/ loss for the year attributable to ordinary shareholders of the parent by the weighted average number of ordinary shares outstanding at the reporting date.

	Twelve Months Ended 31 December Unaudited 2017 Rs	Twelve Months Ended 31 December Audited 2016 Rs	Three Months Ended 31 December Unaudited 2017 Rs	Three Months Ended 31 December Unaudited 2016 Rs
Profit /(Loss) for the year	200,067,287	107,889,171	162,377,434	73,598,193
Weighted Average Number of Ordinary Shares (Nos)	66,230,407	66,230,407	66,230,407	66,230,407
Basic earnings / (loss) per ordinary share Rs	3.02	1.63	2.45	1.11

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of completion of these financial statements.

7. FINANCIAL ASSETS

The Company's financial instruments are summarised by categories as follows:

	31-Dec-17 Unaudited Rs	31-Dec-16 Audited Rs
Loans and receivables	1,025,127,561	770,904,670
Available-for-sale financial assets	321,852,593	474,498,080
Total financial instruments	1,346,980,154	1,245,402,750

The following table consists of the fair values of the financial investments together with their carrying values.

	31-Dec-17 Carrying value Unaudited Rs	31-Dec-17 Fair value Unaudited Rs	31-Dec-16 Carrying value Audited Rs	31-Dec-16 Fair value Audited Rs
Loans and receivables	7 (a). 1,025,127,561	1,025,127,561	770,904,670	770,904,670
Available-for-sale financial assets	7 (b). 321,852,593	321,852,593	474,498,080	474,498,080
Total financial instruments	1,346,980,154	1,346,980,154	1,245,402,750	1,245,402,750

7 (a). Loans and receivables

	31-Dec-17 Unaudited Rs	31-Dec-16 Audited Rs
Investment in Corporate Debt	584,079,538	443,356,097
Investment in Fixed Deposit	120,983,216	216,592,508
Investment in Repos	360,064,808	150,956,065
	1,065,127,561	810,904,670
Provision for Impairment	(40,000,000)	(40,000,000)
	1,025,127,561	770,904,670

7 (b). Available for sale financial assets

	31-Dec-17 Unaudited Rs	31-Dec-16 Audited Rs
Investments in Government Securities	321,852,593	474,498,080
	321,852,593	474,498,080

Arpico Insurance PLC
Notes to Interim Financial Statements

8. INSURANCE CONTRACT LIABILITIES		31-Dec-17 Unaudited Rs	31-Dec-16 Audited Rs
Balance as at beginning			
Change in contract liabilities life fund		726,047,856	436,177,616
Increase in Life insurance fund before surplus transfer	8 (a)	432,695,020	350,207,532
Surplus transferred from share holders		(150,000,000)	(60,000,000)
Increase in Life insurance fund		282,695,020	290,207,532
Movement in AFS reserve transferred to life fund		18,895,495	(337,292)
Balance as at end of the Periods		1,027,638,371	726,047,856

8 (a) Increase in Life insurance fund before surplus transfer

2017 December (Unaudited)

	Gross Insurance Contract Liabilities Rs	Reinsurance on Insurance contract liabilities Rs	Net Insurance Contract Liabilities Rs
Premiums received	1,038,085,079	(28,370,148)	1,009,714,932
Liabilities paid for death, benefits and claims	(145,195,117)	25,438,070	(119,757,047)
Underwriting and Net Acquisition Costs	(352,294,910)		(352,294,910)
Fees (deducted)/received	13,928,571		13,928,571
Investment return	114,709,199		114,709,199
Realise Gain	85,349		85,349
Other operating and administrative expenses	(233,691,078)		(233,691,078)
As at 30 September 2017	435,627,096	(2,932,078)	432,695,020

2016 December (Audited)

	Gross Insurance Contract Liabilities Rs	Reinsurance on insurance contract liabilities Rs	Net Insurance Contract Liabilities Rs
Premiums received	745,386,354	(24,436,905)	720,949,449
Liabilities paid for death, benefits and claims	(88,251,048)	9,252,901	(78,998,147)
Underwriting and Net Acquisition Costs	(214,224,769)		(214,224,769)
Fees (deducted)/received	11,043,207		11,043,207
Investment return	66,690,745		66,690,745
Realise Gain	(1,089,247)		(1,089,247)
Other operating and administrative expenses	(154,163,709)		(154,163,709)
As at 31 December 2016	365,391,534	(15,184,004)	350,207,532

INSURANCE CONTRACT LIABILITIES - LIFE

The valuation of the Insurance Contract Liabilities have been carried out by the consultant Actuaries for the year ended 31st December 2017 and based on that adequate provisions have been made in these Condensed Consolidated Interim Financial Statements.

Liability Adequacy Test (LAT)

The Company carried out a Liability Adequacy Test (LAT) for the period ended 31 st December, 2017 in respect of Life Insurance Contract Liabilities (Insurance Provisions) as required by SLFRS 4 - Insurance Contracts with the assistance of an Independent Consultatant M/S Acturial Partners. Based on that valuation, the recorded liabilities are adequate to meet future obligations arising from Life Insurance Contracts in light of estimated future cash flows.

Arpico Insurance PLC

Notes to Interim Financial Statements

9. TAXATION AND DEFERRED TAX

The company is liable to pay income tax at the rate of 28% of its taxable profits in accordance with the provision of the Inland Revenue Act, No 10 of 2006 and subsequent amendment thereto Life Insurance Business does not have an income tax expense so far.

Thus, no deferred tax assets is recognized in the financial Statements as it is not probable that the future taxable profit will be adequate to utilize the available tax losses fully in the foreseeable future.

10. AMOUNTS DUE TO RELATED PARTY

Related Party	Relationship	31-Dec-17 Unaudited Rs	31-Dec-16 Audited Rs
Richard Pieris & Company PLC	Ultimate Parent	-	6,075,173
Richard Pieris Distributors Limited	Affiliate	7,212,260	167,073
Arpitech (pvt) Ltd	Affiliate	1,040,633	421,582
Arpico Interiors (Pvt) Ltd	Affiliate	1,441,973	12,679
		<u>9,694,865</u>	<u>6,676,507</u>

11. CONTINGENT LIABILITIES

Contingent liabilities are not recognized in the Statement of Financial Position but disclosed if there is a possible future obligation as a result of a past event or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated as at the date of Statement of Financial Position. As at the 31st December 2017, end of the interim period no material capital commitment and contingencies approved by the board and contracted for which no provision has been made in interim financial statements.

12. EVENTS OCCURRING AFTER THE REPORTING DATE

The directors give due consideration to and where necessary adjustments or disclosures are made in the current Financial Statements in respect of material post Statement of financial position events as appropriate. There have been no material event occurring after the reporting date that require adjustments to or disclosure in the interrim financial statements.

Arpico Insurance PLC

Notes to Interim Financial Statements

For the Twelve months Ended 31 December

Share Information

Top 20 Shareholders

Name of the Shareholder	As at 31st December 2017	
	<u>Shareholding</u>	<u>% on Issued Shares</u>
1 KEGALLE PLANTATIONS LIMITED	26,685,001	40.29
2 RICHARD PIERIS DISTRIBUTORS LIMITED	17,790,001	26.86
3 RICHARD PIERIS AND CO LTD	15,125,001	22.84
4 MR.J.P.PAUL	1,484,167	2.24
5 MR.C.S.N.SILVAPULLE	668,399	1.01
6 MR.S.SIVASHANTH	400,000	0.60
7 MR.H.V.SENAWEERA	393,316	0.59
8 MR.P.B.PERERA	299,716	0.45
9 MR.A.P.ARUMUGAMPILLAI	200,000	0.30
10 MR.B.A.R.DISSANAYAKE	200,000	0.30
11 PEOPLES LEASING & FINANCE PLC/MR.K.J. GAMAGE	172,339	0.26
12 MR.R.ARIFEEEN	165,480	0.25
13 MR.G.D.R.FONSEKA	161,000	0.24
14 PAN ASIA BANKING CORPORATION PLC/MR.S.GOBINATH	154,999	0.23
15 MRS.M.S.E.V.E.A.U.VON STUMM	150,000	0.23
16 MR.C.A.ELANKAINESAN	145,829	0.22
17 DR.A.S.WIJENAYAKA	145,284	0.22
18 MR.F.N.HERFT	143,811	0.22
19 MR.S.A.OBEYESEKERE	103,300	0.16
20 MRS.M.P.B.FERNANDO	100,000	0.15
	<u>64,687,643</u>	<u>97.66</u>

Public Shareholding

	As at 31st December 2017	
	<u>No. of Shares</u>	<u>% on Issued Shares</u>
Number of Shares	<u>6,630,404</u>	<u>10.01</u>
		<u>% on Issued Shares</u>
Number of Shareholders	<u>535</u>	<u>99.26</u>

Directors' Shareholdings

There is no share holding by the directors as at 31st December 2017

Number of Shares

No. of shares representing the Stated Capital	66,230,407
Class of Share	Ordinary
Voting Rights	One vote per Ordinary Share

Share Performance

Net Asset Value Per Share as at As at 31st December 2017	14.0
Highest Price Per Share for the Interim Period	17.5
Lowest Price Per Share for the Interim Period	15.5
Last traded Price Per Share as at As at 31st December 2017	17.0